

GLENVEAGH PROPERTIES PLC GLV

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by

goirish

			2026	2027
Price:	2.28	EPS	0.24	0.28
Shares Out. (in M):	521	P/E	9.6	8.3
Market Cap (in \$M):	1,187	P/FCF	6.9	7.9
Net Debt (in \$M):	168	EBIT	145	151
TEV (in \$M):	1,355	TEV/EBIT	9.4	9.0

Description

Glenveagh Properties (GLV) – Long

VIC Write-up · May 2026

Summary

GLV has been written up three times, and the prior reads are worth a read for further background information. GLV has performed well, but we think it keeps working. Ireland needs an enormous number of homes for a very long time, the government has every political incentive to pay for them, and there are exactly two companies with the scale to deliver them. GLV is one of the two.

The investment has played out well since the August 2024 write-up. The €105m buyback the original write-up was waiting on was announced and completed (December 2025), and a fresh programme has been launched and upsized in 2026: the first €25m tranche was completed and a further €25m added in the May 15, 2026 trading update, bringing the active programme to €50m. The Partnerships business grew from €237m in 2024 to €381m in 2025, up 60%, and the segment is now more than 40% of the business. Working capital from the early partnership deals unwound. In 2024, GLV opportunistically acquired approximately 9,000 units across 14 sites (principally for the Homebuilding segment) for total consideration of €285m, at an attractive €31k per unit (less than 10% of net development value, with embedded spot margins of ~21%). Approximately 70% of the units are in the Greater Dublin Area, and this landbank supports delivery of ~2,600–3,600 homes per year through 2029–2030 without further material land investment. The stock has gone from €1.35 to ~€2.20, up about 65%, and has compounded book value alongside it.

While a broader market pullback could provide a better entry point, we think there is still solid upside from here over a 2-3 year horizon of €3.70-€4.50+ depending upon one's assumptions on the scale of partnership activities, land costs in 2028 and beyond and whether enhanced internal capabilities can drive further gross margin upside. Even if one takes the "under" on many these assumptions, there is still reasonable upside from current levels.

The thesis in six parts

1. Ireland is one of the best economies in Europe. We will not relist all Irish economic data but simply note that Ireland's economy continues to hum along. Unemployment is near record lows (~4%), the country runs persistent and repeatedly upward-revised budget surpluses, the workforce is young and well-educated, and modified domestic demand — the cleaner read on the real economy, stripping out the multinational distortion in headline GDP — has been running at a healthy clip. A homebuilder is a leveraged play on its domestic economy. GLV is a bet on Ireland, and while there are risks, Ireland remains about as good a domestic economy as exists in the developed world right now.
2. Ireland has a structural housing deficit, and it is bigger than the official numbers say. As has been discussed in prior write-ups, Ireland continues to have a multi-decade housing shortfall that will only be remedied over a multi-year (or even decade) basis. Population has compounded faster than essentially every official projection for twenty years — the post-Census forecasts have been consistently wrong. The Irish Department of Finance's own long-term analysis pegged pent-up housing demand at 58,000 as of 2022, but the Housing Commission's estimate increased to 212,000-256,000 in November 2025, with Irish Brokerage firm Davy estimating the number at 227,000. The official number could be low by a factor of roughly four. Even the Department's "highest" population scenario starts from a 2025 base that is already 56,000 below the actual recorded population. Ireland's total population could expand to ~6.4 million by 2050 (from ~5.4 million currently). National completions need to run far above current levels — plausibly 50,000+ per year — for possibly 10+ years, and current building is nowhere close to these levels.
3. GLV and Cairn are the only scaled builders, and scale is a real moat here. The Irish homebuilding industry was destroyed in 2008–2011. It did not gently consolidate; it was wiped out. Cairn (IPO 2015) and Glenveagh (IPO 2017) were essentially built from the rubble, capitalized to buy land from NAMA and distressed PE sellers at the bottom. The result is an industry where the two largest players together still account for only around 12% of national completions, and the third-largest builder is a fraction of either. That is the opposite of the UK, where a handful of builders dominate. In Ireland the runway for the big two to take share from sub-scale builders is enormous, and the advantages compound: land access, planning expertise, balance sheet, the ability to absorb cost inflation, and — critically — the ability to be the counterparty the state actually wants for large partnership mandates. A small builder cannot credibly bid for a 1,200-unit partnership site like GLV's Ballymastone development in Donabate. Glenveagh can.

We walked the floor of Glenveagh's Dublin manufacturing facility back in 2022 and the gap between this company and a regional builder is not subtle — it was already visible then in basic operational terms like labor productivity, build-cycle time, and the willingness to invest behind systems most SMEs simply cannot finance. That gap has only widened since. As just one example, Glenveagh runs about 450 bricklayers across its sites, and as the business scales the bricklayer headcount does not rise with units — it stays flat or falls, because more of the build is moving offsite. Sub-scale builders running 100-unit sites

cannot finance the factory capex required to do this; Glenveagh runs 400-unit sites and amortizes the same investment over four times as many units. The cycle-time gap is just as stark: foundations have gone from 26 weeks in a traditional build to 12 weeks at Glenveagh, and roof paneling has compressed from ~10 days to 3. The same GLV teams therefore turn capital out of the system roughly twice as fast as a typical SME. What looked in 2022 like a head start now looks like a structural separation. It is hard to see how the mom-and-pop builders compete against the big two for anything that matters.

4. The internal manufacturing operation is real upside — and the early evidence is now showing up. GLV has invested heavily in modern methods of construction: timber frame and light gauge steel, manufactured offsite and assembled on site, run through a standalone arm (NUA) with three factories. Management has said the manufacturing footprint can support (not necessarily deliver) output of 4,000+ homes a year by 2030. Homebuilding gross margin reached 23.7% in 2025 (up from 22.2% in 2024), and management explicitly attributes the improvement to standardization, scale and vertical integration. It is showing up. The reason group ROE has not yet caught Cairn's is mix — the deliberate growth of capital-light Partnerships, which carries a structurally lower gross margin, optically masks the gain at the group line.

What we have come to appreciate is that the right way to think about this investment is not whether it pays off but how it pays off. For anyone who has spent time with CEO Stephen Garvey, the dominant impression is the unusual depth of operational command. He could keep talking for hours, and the conversation moves fluidly between cement chemistry, the economics of a timber-frame factory, mortgage spreads, the construction sequencing of a 400-unit site, and the historical arc of Japanese volumetric construction, without losing the thread on any of it. CEOs who can do that with this level of granularity are rare in any industry; in Irish homebuilding they are rarer still. He has a vision for what this business looks like at 4,000 units a year and the practical detail to back it up. Garvey believes that pre-manufactured share can move from 35% to ~70% of build value. Foundations have gone from a 26-week to a 12-week cycle, and this is at a time when the price of concrete has run from ~€55/m³ to ~€155/m³ — which is exactly the kind of cost-push that rewards whoever moved off it first.

Garvey has noted that in a strong housing market, the offsite platform shows up as margin expansion versus what GLV would otherwise earn; the factory absorbs cost inflation, compresses cycle time, and lets the same site labor produce more units. In a weak market, where SMEs cannot replicate the capex or pre-funded throughput, GLV's relative cost position is the moat — they harvest the gap as share gain or as the right to stay building when others stop. Heads we win on margin; tails we win on share. We treat the manufacturing investment as a real and possibly large call option that we are not paying much for. The option has two distinct payoff paths, both of them positive for the holders of the stock.

Garvey's recently approved CEO incentive plan reinforces this conviction in concrete terms: an 11 million share option award structured in five equal tranches with exercise prices between €3.25 and €4.25 — well above today's ~€2.20 share price. The award has no value to him unless the stock works from here, and he is required to hold at least 4 million existing shares (~36% of his current holding) for the duration of the option term. The structure signals both what Stephen thinks is coming and how aligned his interests are with shareholders.

On capital return, management has flagged ~€200m of excess capital available for distribution in the near term and Davy estimates up to €400m through 2028 — meaningfully larger than our base-case run-rate. Actual capital return could be substantially higher than we show if GLV is willing to layer in even modest leverage during the 2028–2030 land replenishment phase.

5. The growth comes from Partnerships, which is why GLV should be valued on earnings, not on liquidation value. Glenveagh's Partnerships business — suburban and urban developments funded or acquired by the state and state bodies — is capital-light: partners contribute land and fund work-in-progress, so Glenveagh earns a fee-like margin without tying up its own balance sheet. Partnerships went from two sites a couple of years ago to €381m of revenue in 2025, growing 60% year on year, and the pipeline keeps converting — Marina Depot's first 337 apartments contracted, a further 350-unit mandate secured, three more opportunities (~500 units) in advanced discussion. The scale of the opportunity is the key point: Glenveagh and Cairn have both indicated that the bulk of the additional homes Ireland needs — on the order of ~20,000 units a year — is expected to be delivered through this state-funded partnership model, as national output ramps from the mid-30,000s toward 50,000+. The two scaled builders are positioned to take a large share of that incremental partnership volume. Glenveagh's targeted ~1,800 partnership completions would represent only ~10% of the annual partnership opportunity available to it — so the runway is measured in multiples of current output, not increments. Furthermore, this is not a market a new entrant can flip into. It took Glenveagh six years to develop the relationships, delivery track record, and procurement standing it now has with Approved Housing Bodies and other state counterparties; another builder starting today is looking at roughly that long to catch up. State partners care about delivery certainty, and the €20bn government commitment to housing is even larger than annual mortgage drawdowns. The state's procurement preference matters enormously, and it is structurally tilted toward the two builders who have already shown they can deliver.

A builder generating a growing, capital-light, fee-like earnings stream is worth a multiple of those earnings. As Partnerships grows toward the size of the Homebuilding segment, more of Glenveagh's profit carries that capital-light character, and the correct valuation framework shifts from "what is the land worth" to "what are the earnings worth." The market has not fully made that shift. That is the opportunity.

6. GLV is closer to a structural compounder; the UK names are the deep-value trade. Different bets. It is worth saying explicitly what Glenveagh is not. It is not statistically cheap. It trades at a premium to tangible book value. The UK homebuilders trade well below book value and screen far cheaper on every static metric. But those are different animals. The UK names are a cyclical, mean-reversion bet: if the UK housing market and rate environment turn (or the UK gilt market doesn't impede), they re-rate hard off a depressed base, and they will outperform Glenveagh in that scenario. Glenveagh is a structural-growth compounder in a market where the demand problem is measured in decades and is not dependent on rate cuts. Glenveagh should do reasonably well barring external shock. The UK names likely need the cycle to turn to do well. We are comfortable owning the structural story and simply note the difference.

What has changed since August 2024

The August 2024 write-up was, in hindsight, correct on its main points, and the cleanest way to update it is to mark it to market:

- Buyback delivered. The buyback materialized – €105m, completed December 2025; a fresh €25m programme launched in January 2026 was completed and then upsized by another €25m in the May 15, 2026 trading update, taking the active programme to €50m. Since 2018, GLV's share count is down to ~519 million from ~871 million.
- Partnerships scaled, as predicted. Bud_Spencer argued that the sell side was under-counting unsigned partnership deals. Partnerships revenue grew 60% in 2025 to €381m and is now 40%+ of the business. The two-site segment of 2024 is now a genuine platform with a converting pipeline.
- Working capital unwound. The H2 cash generation Bud_Spencer flagged came through; the early-partnership working capital build reversed.
- Land assembly completed. The roughly 19,000-unit Dublin landbank (acquired at well under 10% of net development value) is essentially in place and now feeding the business through 2030 rather than being built up.
- Manufacturing margin starting to print. Homebuilding gross margin moved from 22.2% in 2024 to 23.7% in 2025, with management explicitly crediting the manufacturing/standardization program. The October previous write-up framed this as upside not yet visible; eighteen months on, it is visible at the segment level.

The fair criticism: the manufacturing payoff is visible at the segment level, but group returns still trail Cairn

As noted, Glenveagh's Homebuilding gross margin reached 23.7% in 2025, up from 22.2% in 2024 and management explicitly attributes the improvement to standardization, scale and vertical integration, i.e. the manufacturing program. That is a real, reported, investor-visible data point, and it is moving in the right direction. The off-site manufacturing story is no longer purely promissory; it is beginning to show in the segment that uses it.

That said, GLV still earns less than its only true peer:

Metric (FY2025)	Glenveagh	Cairn Homes
Return on equity	14.4%	16.6%
Group operating margin	~15.6%	17.8%
Basic EPS	20.0c	21.3c
Revenue	€926m	€945m
Net profit	€107.6m	€132.7m

GLV earns a lower ROE and a lower group operating margin than Cairn, and the ROE gap actually widened in 2025 (Cairn +150bps to 16.6%; GLV roughly flat). The reconciliation is mix: GLV's fast-growing Partnerships segment carries a lower gross margin (~13–15%) than Homebuilding, so as Partnerships scales it dilutes the group margin even as Homebuilding margin improves. In other words, the manufacturing benefit is real but is currently being masked at the group line by the deliberate shift toward capital-light Partnerships — a shift that is good for ROE over time (less capital tied up) but optically dilutive to margin today.

Earnings power

Assuming that the partnership business continues to scale and that GLV keeps buying back stock, we show EPS climbing from ~€0.20 in 2025 to ~€0.41 by 2030, a ~16% CAGR. One important note on near-term numbers: our 2026 revenue and earnings figures reflect operating volumes only and exclude the ~€45m of selective land sales that management has guided to for 2026 (in addition to the €55m completed in 2025, taking total disposals across 2025–2026 to ~€100m as guided). Those land sales are a cash event that supports buyback funding rather than recurring earnings power, so we deliberately leave them out of our run-rate model; including them would push 2026 group revenue to ~€1,107m and EPS slightly higher.

Worth flagging that our 2026 net income (~€117m) is modestly above sell-side consensus (Davy ~€108m, Jefferies ~€107m) despite slightly lower revenue, which is purely a margin call — specifically the view that vertical integration and offsite manufacturing are providing more durable cost protection than consensus credits, and that Homebuilding gross margin (23.7% in 2025) does not have to revert in 2026 as the sell-side assumes. This also assumes GLV spends ~€234m on land purchases from 2028–2030 (roughly €37.5k per plot, or about €75–€82m per year, at 1 plot per home delivered). That figure builds in raw land prices ~1.5x 2024 levels (€25.5k/plot vs €17k/plot) and infrastructure/servicing costs ~1.2x 2024 levels (€12k/plot vs €10k/plot). The all-in plot cost of €37.5k is approximately 20% above the €31k per unit GLV paid in 2024. These assumptions assume future NPF rezoning eases land pricing versus today's levels. It is true that buybacks drive a good amount of the growth as GLV returns nearly all of a mid-teens-ROE earnings stream as buybacks. One further point worth flagging: our base case assumes GLV stays lightly leveraged throughout, which means returns on tangible equity peak around 2028 (~16.4%) and then drift modestly lower in 2029–2030 (to ~15.9%) as cash builds up faster than buybacks can absorb it (FCF runs roughly 1/3 of net income during the land-buying years, while net income keeps growing). A more scaled GLV could comfortably layer on modest incremental debt during the 2028–2030 land replenishment phase to accelerate the buyback, which would lift both EPS and ROTE versus our base case. We do not include this possible upside.

Everything above the base case is upside the model does not capture:

- Unsigned partnership deals. Each incremental partnership mandate adds capital-light revenue beyond even our trajectory. Jefferies explicitly flags scope for deliveries "beyond the constraints of the current land bank" as strategic land gets zoned.
- Manufacturing margin convergence. If GLV's group operating margin moves toward Cairn's 17.8%, that is incremental earnings on the same revenue — option value, per the section above.
- Multiple re-rating. GLV trades around 9–10x earnings and a premium to book. As the mix shifts toward capital-light Partnerships — and as the business looks more like a homes-delivery and manufacturing platform than a land-banking housebuilder — the appropriate multiple could rise.
- We could be overestimating the amount spent on land. It is true that current land prices are 2-3x above GLV's 2024 purchase price. While we assume some degree of inflation, it is possible that NPF rezoning of 0.8-1 million lots deflates land cost by the time GLV starts buying, given that GLV and Cairn are the only scaled buyers and new taxes discourage land hoarding. Specifically, Ireland's Residential Zoned Land Tax (3% annual levy on the market value of zoned, serviced, undeveloped residential land, in effect since February 2025) imposes a real and growing carrying cost on sub-scale landowners who cannot deliver units quickly. We think it is plausible that this tax forces a wave of liquidations of unviable plots into 2027–2028 — precisely the window in which GLV is set to re-enter the land market — with GLV and Cairn as effectively the only scaled buyers able to absorb the inventory.

If GLV's multiple does not improve, shares can move towards €3.70–€4.00 over 2–3 years. Conversely, assuming 10% cost of equity, 3% terminal growth and roughly 15-16% ROTE, a Gordon growth model would suggest further upside to €4.75–€5.30 or ~1.85x tangible book value. Downside is protected by the structural demand picture (point 2) and by a balance sheet moving to net cash with a fully-paid land bank.

The LBO / takeout angle

One more point that sits underneath the floor. CEO Stephen Garvey is a co-founder and a meaningful shareholder, his incentive comp is geared to ROE, EPS, and share-price hurdles (per his recently approved CEO plan), and the company has spent the last several years behaving like a rolling public buyout — retiring float aggressively. A company that is (a) generating substantial free cash, (b) finished with its land-assembly capital cycle, (c) lightly levered, (d) sitting on a 19,000-unit Dublin landbank bought below 10% of NDV, (e) run by an owner-operator with the depth of operational command described above, and (f) the partner of choice for state-funded partnership mandates, is the kind of asset private equity notices. We do not underwrite a takeout, but note that takeout is possible.

Base case summary

For reference, the headline figures from our base-case model (buyback mode, 90% payout, base partnership and margin scenarios):

€ millions except per-share	2025A	2026E	2027E	2028E	2029E	2030E
Homebuilding revenue (€m)	538	612	657	722	780	836
Partnership revenue (€m)	381	405	459	518	585	661
Total revenue (€m)	919	1,062	1,116	1,240	1,365	1,497
Operating income (€m)	143	145	151	161	176	190
Pre-tax income (€m)	125	137	145	156	171	186
Net income (€m)	106	117	124	134	146	159
EPS (€)	€0.20	€0.24	€0.28	€0.32	€0.36	€0.41
Diluted shares (mm, EOP)	520	474	429	412	397	379
Tangible book value / share (€)	€1.52	€1.70	€1.90	€2.19	€2.52	€2.89
Return on tangible equity	14.1%	14.8%	15.4%	16.4%	16.3%	15.9%

Source: Glenveagh financial model, base-case run. 2025A reflects reported FY2025 results; 2026E–2030E are model projections driven off base-case unit and ASP assumptions, with the buyback toggle set on and a 90% capital-return payout. Land replenishment of approximately €234m is funded by FCF over 2028–2030 within the projection.

Disclosure: We hold a material investment in the issuer's securities. This is not investment advice. We may buy or sell at any time without notice.

Risks

- Irish macro shock. A homebuilder is a leveraged play on its economy. A serious Irish downturn — or a multinational-tax shock to the exchequer — hits volumes and the government's capacity to fund partnerships. Mitigant: the buy-vs-rent economics and the sheer scale of the deficit make demand unusually resilient, but this is the real tail risk.
- Political/policy reversal. The thesis assumes the government keeps spending to solve housing. A change in policy priorities would slow Partnerships. Mitigant: housing is the dominant political issue in Ireland; the incentive to keep funding supply is structural.

- Land/cost inflation. Replacement land and build costs can compress margins. Mitigant: scale and manufacturing; the landbank is already secured cheaply, and the cycle-time edge means GLV is less exposed to per-unit input inflation than peers.
- Capital-return discipline. The base case depends on buying back stock at sensible prices. If management overpays for the float, or pivots to expensive M&A, the per-share compounding weakens. Mitigant: track record to date has been disciplined.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Continued operational execution and equity shrink (possibly debt-funded).
- Continued internal manufacturing expansion and gross margin/share gain.
- Continued Ireland economic momentum.
- Partnership pipeline conversion and new mandate announcements.
- RZLT-driven land deals into 2027–2028.

Messages

Subject	Comments and questions
Entry	05/31/2026 10:13 PM
Member	erst1071
This is a great writeup of a great company - thanks for sharing such detailed work. For full disclosure, we first met Stephen (and co-founder Justin Bickle) pre-IPO, have been shareholders on and off, and it is now our second largest position. A few comments and questions: 1. First, lets discuss the macro, because that is what has been so unique for Glenveagh (and Cairn) when comparing to the UK-builders. Increased from x to y, but is it realistic that the underlying demand is 50,000? House price inflation has not been that strong meaning that the current output is sufficient? 2. Margins - although you mention the land-sales that drove margins in 2025 (and will to certain extent again in 2026), you fail to adjust for it when comparing ROE and margins to Cairn and estimates. he company reported 23.7% gross margins for its homebuilding segment, but guides that this is due to monetizing its vintage landbank and that new plots today are procured at 21% gross margins. The partnership business did 18.2% gross margin in 2025 due to landsales, but that medium-term we should expect this to be a 15% margin. It is a bit puzzling to us underlying margins have not been stronger with the increased scale. The off-site manufacturing has really scaled like you point out, but it has yet to show in margins. What gives you comfort that this will actually change now? The company is guiding 21% for homebuilding and 15% for partnership. Second point, you mention that it is the partnership business that is masking the improvement in margins, partially true, but this should showed up in stronger return on equity (than Cairn). However, it has not. 3. You point out that the company has ample excess capital, but why did it then increase its lending facility by 100m EUR recently "to support the next phase of growth"? 4. CEO compensation - Although I agree with everything you say about Stephen and he is definitely focused on creating long-term shareholder value. However, the option program is not the strongest alignment. The share prices you mention in the stock option program is simply the strike prices for each vintage, the share price does not have to be above these levels for vesting, and they are 10 year options. Criteria for vesting is simply staying employed until vesting date (not expiration date) and maintaining that minimum shareholding (which means he can sell 60% of current holding and still vest). This LTIP was so unpopular that ~35% voted against at the most recent AGM, leading to next point. 5. Selling core shareholders - Fidelity has been one of the main shareholders since IPO. It has been very supportive and kept buying shares, to a concentration level (in both Cairn and Glenveagh) that we have questioned. I have not kept up with all the filings, but to our knowledge Fidelity has not sent a press release reducing its stake ever. Until now, since the AGM it has sent two notifications that it has reduced its stake, now down to 11.5%. That can be a massive headwind to the share price if Fidelity wants out. Secondly, Teleios own 14% of the company and has in two recent block sales reduced its stake significantly (still owning 14%). We have no clue whether they will keep selling, but found it a bit odd that this was left out of the write-up. 6. How do you make money from here? The company did 20 EPS last year, guiding 21 cents EPS this year including gains on land sales, and based on volume and margin guidance will do ~125m EUR Net income in 2027. That means that at the current share price it trades at 10x 2027 EPS, which does not seem that cheap for a housebuilder performing on all metrics in a great macro-environment. I am not calling it is a peak earnings number, but is your thesis that the business should re-rate to a higher P/E? It is only 30% partnership, rest is homebuilding in 2027.	

Subject	Re: Comments and questions
Entry	05/31/2026 11:16 PM
Member	erst1071
Sorry the macro comment was unfinished (wrote it in a cafe). However, the point is that Ireland will reach close to 40,000 new builds this year, up from 14,000 at the time of the IPO. This increase has shown up in reduced house price inflation, which is expected at 4% this year. We are aware of the "long term demand" of 50,000, but no European country is close to its long term demand figures. All in all, this seem to point to that we are closer to the 8th inning of the cycle...	

Subject	Re: Re: Comments and questions
Entry	06/01/2026 08:08 PM
Member	goirish

Erst,

Thanks for the comment; I'll try to address your concerns below.

On margins (your point 2) — I think the writeup created a misimpression here, so let me correct it. You're right that 2025's 23.7% homebuilding and 18.2% partnership gross margins were flattered by vintage land and land sales, and that normalized levels sit around 21% / 15% on the company's own guidance. The clarification: our forward numbers run homebuilding at exactly 21% and partnership at 15%, flat across the entire forecast — i.e., at the company's normalized guidance and well below the reported 2025 prints. We are explicitly not extrapolating land-sale margins, and we assume no benefit from off-site manufacturing scaling. If manufacturing does pull gross margin above 21% over time, that is upside to our numbers, not embedded in them. That's what we should have said in the text instead of "margins don't necessarily revert" — I assume they hold at guidance and treat any improvement as optionality. On your ROE sub-point: fair, the partnership mix hasn't yet produced a visible ROE edge over Cairn, and our case doesn't require it to — ROE in our model sits mid-teens (~15%) on these guidance-level margins, with the equity return driven more by capital allocation than a margin step-up.

On demand and whether 50,000 is realistic / current output is already sufficient (point 1). I'd push back on the inference that modest house-price inflation means supply has caught up. 2025 completions were 36,284 — a record since the series began in 2011, but still short of the State's own revised structural requirement of ~50,500 a year rising toward 60,000 by 2030, and the prior 41,000 target was missed. Against accumulated pent-up demand (Housing Commission 212–256k; Davy ~227k), ~36k roughly keeps pace with annual demographic flow — population grew ~1.9% with net migration around +79,000 — while barely denting the stock deficit. House-price growth in the mid-to-high single digits (RPPI +7.5% in the year to March 2025) alongside record migration and demand-side supports looks more like Central Bank mortgage limits capping prices than demand being satisfied. And the supports are locked in: Help to Buy extended to end-2029, the First Home shared-equity scheme continues, apartment VAT cut to 9% through 2030, plus new Starter Homes funding. That's a multi-year, policy-supported new-build demand backdrop — exactly GLV's product.

On the "eighth inning" (your closing point). I take the point that no European country reaches its theoretical long-term need — but that cuts in our favor. We don't even necessarily need Ireland to hit 50k for the thesis to work; we need the build-out to continue and GLV (and Cairn) to keep taking share from sub-scale builders. Output would have to roughly double from here to meet the State's own targets, the accumulated shortfall is essentially untouched, migration looks structural, and the demand supports run to 2029–2030. That reads like multiple innings left in the supply catch-up, even if you think we're late in the rate/price cycle. The risk you're really flagging — a cyclical demand air-pocket — is real, but it's a different thing from "the housing shortage is largely fixed."

On excess capital and the €100m facility increase (point 3). These aren't in tension. We carry net debt of only ~€94m — roughly 7–8% of gross assets, below the bottom of management's stated 15–25%-of-gross-assets range. Upsizing committed, undrawn capacity is about pre-positioning cheap debt to fund WIP growth and the buyback simultaneously while retaining the option to lever up into that 15–25% range — which is precisely the return-accelerator in our case. I'd concede they'll likely draw more over time; that's the plan, not a red flag about capital adequacy.

On CEO compensation (point 4). You're right on the mechanics — those are strike prices, vesting is largely tenure- and minimum-shareholding-based, they're 10-year options, and the ~35% AGM vote against tells you others share the concern. I won't defend the structure as best-in-class. But the substantive point stands: the options have no value unless the shares rise, so directionally Garvey is paid to grow per-share value, which aligns him with us. I'll concede the plan could have been built with tougher hurdles and that he can monetize a chunk while still vesting. Net: imperfect alignment, not misalignment.

On the selling core holders — Fidelity and Teleios (point 5). This may well be a near-term technical overhang rather than a fundamental signal. I don't know the internal dynamics of Fidelity/Teleios and any possible concentration limits each may face or what other opportunities they might be pondering. The write-up simply argues that there is further upside — we have held shares since 2023 and think the story continues. That said, GLV's own buyback, which in our model takes diluted shares from ~520mm to ~379mm, should absorb this supply. The same flow that pressures the stock near-term is what compounds per-share value over time. In stronger form: because the buyback is running straight into this selling, the company is retiring stock at a price almost certainly below what it would face on a tighter-float name with both holders still in — so every euro of repurchase is more accretive to those of us who stay. That only cuts our way if the thesis plays out, but if you believe in continued volume growth and capital return, the forced selling is working for the long-term holder, not against.

On "how do you make money from here" (point 6). We don't actually disagree on near-term earnings — our 2027 net income (~€124m) is essentially your ~€125m. The divergence is per-share: the buyback takes the count from ~520m to ~429m by 2027, so EPS is ~€0.275, not the ~€0.21–0.23 a "10x" implies. At €2.27 that's ~8.3x 2027 falling toward ~5.5x 2030, with EPS compounding just under 16% and tangible book per share ~14% a year. So the return comes from compounding earnings plus capital return, not a re-rate — a re-rate is optionality, and the leverage step into the 15–25% range turbocharges it. The two things you have to believe are that the build-out continues and that GLV/Cairn keep taking share. Neither feels heroic.

Subject	Re: Re: Re: Comments and questions
Entry	07/02/2026 12:50 AM
Member	erst1071

Thanks for detailed answers.. looking forward to following this. I agree the results will be strong going forward, and then the positive surprise can be capital allocation.

Fidelity keeps selling, but they just added to Cairn. My hypothesis (speculation) is that they did not like the management incentive plan, voted against, then have to sell, but still want exposure to the sector and therefore rotating over to Cairn.